

19 May 2026 01:25:29 ET | 16 pages

Sandisk Corp (SNDK.O)

Strong Demand/Pricing Environment Bolsters Target Price Higher, Reiterate Buy

CITI'S TAKE

Raising SNDK TP to \$2,025 (9-10x CY27E PE) from \$1,300 (7-8x prior) following strong Kioxia earnings, reinforcing our view of persistently strong storage demand and a highly favorable pricing environment, fueled by intensifying AI interest. Kioxia (covered by Takero Fujiwara) [reported March Q](#), beating street ests on continued NAND demand, with revenues up ~85%qq (+190%yy), OM nearly 60%. Kioxia rev guidance +75%qq, OP to more than double qq, and 74% OM, driven by ASP increase across all applications. Kioxia expects CY26 B/G high-teens and demand>supply through CY27. Long term agreements signed by SNDK YTD provide 80%+ GMs (even at minimum pricing levels) with predetermined volumes and growing throughout the duration of the contracts with financial guarantees secured through the contract to help reduce downcycle volatility. Additionally, given recent \$6B authorization, we believe buybacks can help drive upside to EPS estimates.

We remain constructive on a highly favorable S/D environment with clear indications of persistence with customer demand conversations through CY30, supportive of pricing plus durable underlying data center demand. Following strong [SNDK earnings](#) reported on April 30th, we remain constructive on NAND fundamentals: For the industry to remain in tight production supply, with eSSDs benefiting from very strong hyperscaler demand on generative-AI training/inferencing services, and with vendors working to improve profitability over coming quarters through price increases (see recent [Citi NAND ASP commentary here](#)), while judiciously managing supply to expected demand. We adjust June Q ASP assumptions upward and align our model to reflect pricing in line with Citi's house view for NAND ASPs to increase to 186%+ in CY26E with eSSDs to be up 265%+. With this intra-quarter adjustment, our estimates are above the Street and guidance on revenues and EPS, reflecting more favorable pricing conditions and continued disciplined opex.

Continued inside/below...

EPS (US\$)	Q1	Q2	Q3	Q4	FY	FC Cons
2025A	1.81A	0.99A	-0.30A	0.29A	2.79A	2.99A
2026E	1.21A	6.20A	23.41A	36.16E	67.97E	64.45E
Previous	1.21A	6.20A	23.41A	32.54E	64.29E	na
2027E	51.40E	66.39E	49.48E	50.43E	217.70E	168.46E
Previous	43.66E	55.01E	41.42E	42.16E	182.26E	na
2028E	54.11E	58.79E	49.86E	52.33E	215.09E	161.35E
Previous	40.55E	40.84E	35.78E	37.97E	155.13E	na

Source: Company Reports and dataCentral, Citi Research. FC Cons: First Call Consensus.

Buy

Short-Term View: Upside, expires 17-JUN-26

Price (18 May 26 16:00) US\$1,333.01

Target price US\$2,025.00↑
from US\$1,300.00

Expected share price return 51.9%

Expected dividend yield 0.0%

Expected total return 51.9%

Market Cap US\$197,405M

Price Performance

(RIC: SNDK.O, BB: SNDK US)



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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

Kioxia (covered by Takero Fujiwara) **reported** March qtr results citing continued NAND demand on intensifying AI interest. Mar Q revenue of ¥1.003T vs guidance ¥845-935B and FactSet ¥923.66B. Non-GAAP operating income ¥599.1B vs guidance ¥440-530B and FactSet ¥529.04B. Approx. 10%qq bit decline and ASPs (like-for-like and blended broadly aligned) more than doubled qq (USD basis). 1Q guidance of revenues ¥1.750T vs FactSet ¥1.385T and non-GAAP operating income ¥1.300T vs FactSet ¥931.36B. Operating margin of nearly 60% in the reported quarter with revenues up ~85%qq and +190%yy. Guidance is for revenues to be up 75%qq and operating profit to more than double qq and margin of 74%, driven by ASP increase across all applications. Management noted CY26 bit growth in the high teens with Kioxia growing at least in line with the market and demand to exceed supply through CY27. On LTAs, Kioxia continues to state that negotiations are progressing and will contribute to future earnings and demand stability, although with no detailed comments. [Kioxia Holdings \(285A.T\) - Maintain Buy/High Risk — Strong price growth momentum; raise FY3/27 OP estimate to ¥7trn](#)

Kioxia NAND market outlook reflects: Intensifying interest in AI-inference servers driving overall CY26 NAND demand growth while traditional servers are expected to remain strong and expected CY26 moderation of nearline HDD replacement in favor of high-performance inference products, with TAM still expected to expand. CY26 flat yy smartphone NAND demand, with low-priced model unit shipments expected down on higher BOM costs, and high-priced models at stable unit shipments as makers boost average capacity. PC unit shipments expected down on higher BOM costs.

SNDK LTAs Structured to Reduce Volatility with Attractive Margin Structures –

While LTAs offer customers downside protection should prices come down, the variable component within the deals provide financials (incl. GMs) that remain attractive, in our view, even at the floor pricing, while the cap would be higher (though not publicly quantified). Furthermore, we understand the volumes are predetermined and growing throughout the term plus financial guarantees are secured for the duration of the contract, which are automatically triggered (as necessary if contract terms are not met) and are not negotiable.

Share Repurchase Authorization – During last quarter, SNDK announced a \$6bln share repurchase authorization. This represents ~3% of current market cap and we expect additional upside forthcoming given strong FCF generation expectations ahead. Our model does not currently imply any share count reduction yet relative to the guide but note potential for an incremental ~\$2 in EPS for every ~1% reduction in share count

Favorable NAND Pricing Environment Persists – Citi Korea Memory Analyst Peter Lee expects global memory pricing to see a sustained uptrend in 2H26E due to increased AI traction on accelerated token growth driven token limit increases and adoption of more memory-efficient standards and supporting NAND ASP expectations of +45%qq and CY26 +186%yy with eSSDs increasing +265% yy.

Figure 1. NAND ASP Projection

NAND ASP Projection by Application										
	2025				YoY	2026				YoY
	1Q	2Q	3Q	4Q		1Q	2Q	3Q	4Q	
SSD	-7%	2%	5%	31%	+21%	70%	63%	25%	10%	+267%
Mobile	-13%	3%	0%	11%	-16%	55%	25%	10%	3%	+113%
USB& Others	-14%	8%	2%	20%	-6%	63%	40%	12%	5%	+169%
NAND ASP QoQ	-11%	3%	3%	21%	3%	63%	45%	17%	6%	+186%

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Source: Citi Research

Figure 2. Citi Ests vs Street

(in \$ millions, except for % , ASP, and EPS)	Q4 26E				Q1 27E			2026E			2027E			2028E		
	Jun-26				Sep-26			FY			FY			FY		
	Citi	Prior	Street	Guidance	Citi	Prior	Street	Citi	Prior	Street	Citi	Prior	Street	Citi	Prior	Street
Bit growth q/q	15.0%	15.0%			20.0%	20.0%		17.2%	16.1%		26.5%	25.2%		12.5%	14.5%	
ASP/GB qq	30.0%	18.0%			15.0%	10.0%		134.1%	126.7%		103.8%	81.7%		(10.6%)	(21.6%)	
Total Revenue	8,895	8,074	8,112	7750-8250	12,275	10,658	9,753	20,178	19,357	19,585	52,009	44,039	42,235	52,323	39,512	45,794
Change Q/Q	49.5%	35.7%			38.0%	32.0%		174.3%	163.2%		157.7%	127.5%		0.6%	-10.3%	
Change Y/Y	367.9%	324.7%			431.9%	361.8%										
GM w/charges	80.0%	80.0%	79.4%	79.81%	82.0%	81.0%	80.4%	69.5%	69.0%	69.0%	81.8%	81.6%	81.7%	80.6%	78.5%	83.3%
Opex	489	497	427	480-500	528	533	417	1,796	1,804	1,820	2,125	2,126	1,989	2,269	2,248	3,721
Operating Income	6,627	5,963	6,017		9,538	8,100	7,426	12,223	11,559	11,702	40,402	33,814	32,510	39,917	28,773	34,447
Operating Margin	74.5%	73.9%	74.2%		77.7%	76.0%	76.1%	60.6%	59.7%	59.8%	77.7%	76.8%	77.0%	76.3%	72.8%	75.2%
Pretax Income	6,643	5,979	5,960		9,554	8,116	7,351	12,160	11,496	11,570	40,466	33,878	32,365	39,981	28,837	35,104
Provision for Income Taxes	930	837	849	775-875	1,433	1,217	1,258	1,624	1,531	1,534	6,070	5,082	5,121	5,997	4,325	5,214
Tax rate	14.0%	14.0%	14.2%		15.0%	15.0%	17.1%	13.4%	13.3%	13.3%	15.0%	15.0%	15.8%	15.0%	15.0%	14.9%
Net Income	5,713	5,142	5,154		8,121	6,899	6,158	10,536	9,965	10,087	34,396	28,796	27,297	33,983	24,511	29,391
EPS - PF Diluted	\$36.16	\$32.54	\$ 32.82	30-33	\$51.40	\$43.66	\$ 39.41	\$67.97	\$64.29	\$ 64.49	\$217.70	\$182.26	\$ 174.41	\$215.09	\$155.13	\$ 187.32

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Source: Citi Research, FactSet

Short-Term View on Sandisk Corp (SNDK.O)

Direction: Upside
Duration: Within 90 Days (expires 17 Jun 2026)
Date Added: 19 Mar 2026
Category: Earnings, Macro fundamentals, and Special situations

We have an upside 90-Day ST View on SNDK shares on favorable industry results/commentary on top of strong Dec qtr execution and solid near-term outlook as the company continues to benefit from strong demand reflecting hyperscaler eSSD demand momentum driving better pricing, robust margins, and eSSD-mix opportunity, paired with already-favorable and yet still improving industry fundamentals well-supported by limited production. We remain constructive on NAND fundamentals: industry remaining in tight production supply, with eSSDs benefiting from extremely strong hyperscale demand for generative-AI training/inferencing services, and with vendors working to improve profitability over coming quarters through price increases, while judiciously managing supply to expected demand.

Bull/Bear: Sandisk Corp (SNDK.O)

US\$ **2,625.00**
▲ 97% Upside

US\$ **2,025.00**
▲ 52% Upside

US\$ **1,000.00**
▼ 25% Downside



Spread 122pp
Current Price and expected returns (upside/downside) as of 18 May 2026



BULL Assumptions

- Bull case assumes higher EB growth and improved EB pricing environment.



BASE Assumptions

- Base case as presented in current financial model.



BEAR Assumptions

- Bear case assumes lower EB growth and degraded EB pricing environment.

Sandisk Corp

Company description

Sandisk is a global data storage supplier of NAND flash solutions, including SSDs, memory cards, USB sticks, portable drives, and automotive. For Client customers, the company offers SSDs for the PC, mobile, gaming, automotive, VR, at-home entertainment, and industrial spaces. The company is primarily focused on increasing its share in Enterprise, targeting the Cloud and Data Center segment. The company also leverages its strong brand name to the Consumer end-market for retail and other end-user products, including memory cards, USB sticks, and portable drives. Sandisk was founded in 1988, was then owned by Western Digital from 2016 until its spinout in Feb 2025, and is headquartered in Milpitas, CA. Sandisk's long-standing flash production JV with Kioxia began in 2000 and is signed through 2034. The partnership provides for a steady supply of NAND flash, with each company a co-owner of the production facilities with an ownership split of 51% (Kioxia)/49% (SNDK).

Investment strategy

We rate Sandisk shares Buy as the company focuses on gaining share in the growing Enterprise SSD segment amidst a highly favorable S/D environment expected to persist through CY27, with limited cleanroom capacity situation supportive of pricing, plus durable underlying datacenter demand, coupled with its Bics8 qualifications serving as a competitive moat, and with ongoing mix to datacenter further benefiting margins longer-term. However, we remain prudently cautious on the potential for elevated price competition between key players during the process, particularly from Chinese players which remain aggressive on gaining share, and where currently underutilized industry capacity can very quickly reverse to oversupply within a small window, making the ideal conditions of price increases short-lived.

Valuation

Sandisk's peer set historically trades at (FactSet) median 3-4x EV/sales, and 9-10x P/E. Our target price for SNDK is \$2,025, where we value shares at 9-10x CY27E EPS, vs its closest competitor, Kioxia, at a median of 7x, as well as the larger peer group at 6-7x P/E, as we believe Sandisk's LTAs merit a higher multiple vs peers. We also note most peers have DRAM exposure while SNDK does not. That said, we note Sandisk additionally has an estimated \$15-20B in invested capital (replacement cost) within the JV that is not reflected in the company's financials.

Risks

Downside risks that could impede SNDK share price from reaching our target price include:

- 1) Sandisk's efforts to increase its share in the Enterprise could take longer than expected;
- 2) Macro environment could deteriorate, adversely impacting critical datacenter spend, PC refresh, or AI-PC traction, all of which are supporting current demand conditions; and

3) Supply-demand imbalances or pricing competition could cause volatile pricing fluctuations, significantly impacting margins.

When considering Citi's Quantitative Risk Rating criteria, we do not rate SNDK shares as High Risk given Sandisk was already previously a publicly traded company and was simply spun out of Western Digital rather than as a new IPO.

And although it operates in a cyclical industry, Sandisk continues to be a successful, going concern with a reputable brand, IP assets, and an established JV.

Kioxia Holdings

(285A.T; ¥51450.0; 1H; 18 May 26; 15:30)

Valuation

We set our target price using PER, based on our FY3/27 forecasts. We set fair-value PER at 8.0x and apply this to FY3/27E EPS of ¥9,162 (common stock, before dilution of just under 1%) to derive a fair-value share price of ¥73,000, which we adopt as our target price. We also reference a fair-value share price derived from PBR. We set fair-value PBR at 5.0x and apply this to FY3/27E BPS of ¥11,225 to likewise derive PBR-based fair value of ¥56,000. We determine both fair-value PER and PBR referencing the memory industry average.

Risks

We assign a High Risk rating because we believe share price volatility is likely to remain high given the firm's status as a specialist manufacturer of NAND flash memory, where earnings tend to be volatile, the high ratio of shares held by major shareholders, and the low free float ratio.

Risks to our target price include 1) a deterioration in supply-demand if the US relaxes restrictions on exports of semiconductor production equipment to China, 2) a loosening of supply-demand if companies expand investment, 3) temporary inventory adjustments in the smartphone and data center spaces, and 4) yen strength (we estimate that each ¥1 appreciation erodes OP by c¥40bn).

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Appendix A-1

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The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by "AC" in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely

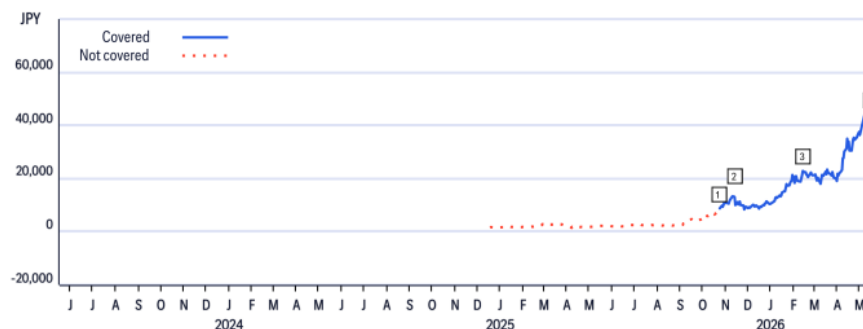
with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

Kioxia Holdings (285A)

Ratings and Target Price History Fundamental Research

Analyst: Takero Fujiwara



	Date	Rating	Target Price	Closing Price
1	24-Oct-25 02:35:00	*1H	*12,000	8,780
2	14-Nov-25 05:31:29	1H	*16,500	10,025

	Date	Rating	Target Price	Closing Price
3	13-Feb-26 03:42:04	1H	*31,000	22,845
4	17-May-26 12:16:16	1H	*73,000	44,450

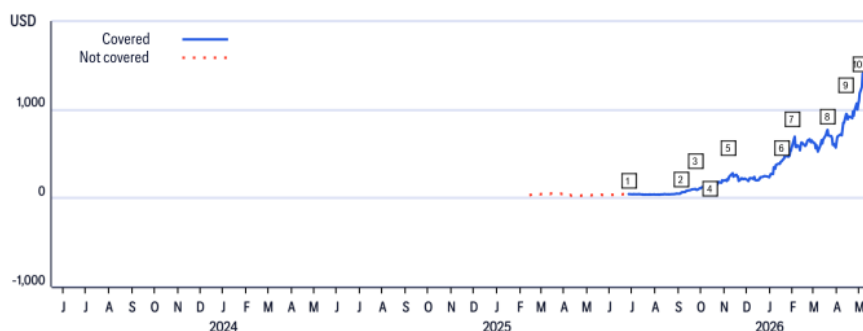
*Indicates Change

Rating/target price changes above reflect Eastern Time

Sandisk Corp (SNDK)

Ratings and Target Price History Fundamental Research

Analyst: Asiya Merchant, CFA



	Date	Rating	Target Price	Closing Price
1	26-Jun-25 04:00:00	*1	*57.00	47.44
2	07-Sep-25 21:24:48	1	*80.00	68.55
3	24-Sep-25 04:00:00	1	*125.00	99.83
4	13-Oct-25 00:10:56	1	*150.00	134.61

	Date	Rating	Target Price	Closing Price
5	07-Nov-25 00:50:25	1	*280.00	239.48
6	19-Jan-26 19:00:00	1	*490.00	413.62
7	30-Jan-26 06:41:51	1	*750.00	576.25
8	19-Mar-26 06:19:51	1	*875.00	772.09

	Date	Rating	Target Price	Closing Price
9	13-Apr-26 03:59:36	1	*980.00	952.50
10	01-May-26 01:36:50	1	*1,300.00	1,187.00

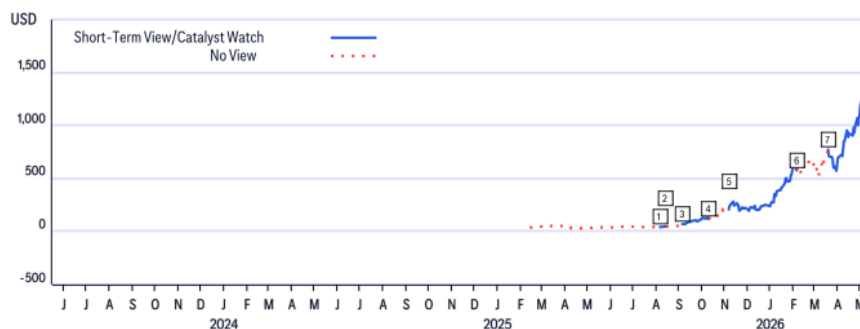
*Indicates Change

Rating/target price changes above reflect Eastern Time

Sandisk Corp (SNDK)

Short-Term View/Catalyst Watch Research

Analyst: Asiya Merchant, CFA



Date	Action	Expected Direction	Duration	Closing Price
06-Aug-25 13:53:54	Add STV	Upside	90 Days	42.10
14-Aug-25 22:45:08	Remove STV	Upside	90 Days	46.68
07-Sep-25 17:24:48	Add STV	Upside	90 Days	68.55
12-Oct-25 20:10:56	Remove STV	Upside	90 Days	116.91
06-Nov-25 19:50:25	Add STV	Upside	90 Days	207.69
05-Feb-26 11:27:43	Remove STV	Upside	90 Days	576.20
19-Mar-26 02:19:51	Add STV	Upside	90 Days	772.09

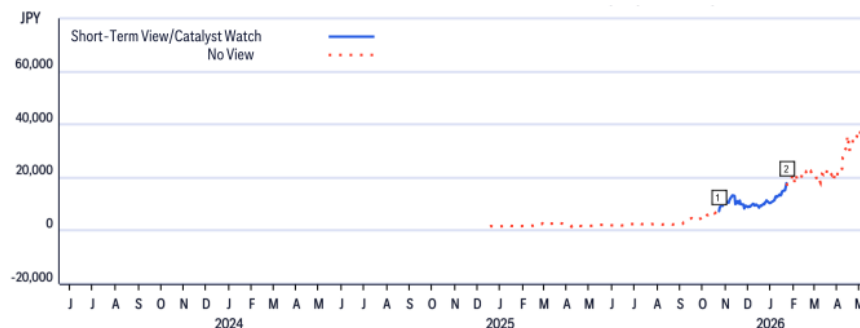
CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Kioxia Holdings (285A)

Short-Term View/Catalyst Watch Research

Analyst: Takero Fujiwara



Date	Action	Expected Direction	Duration	Closing Price
23-Oct-25 22:35:00	Add STV	Upside	90 Days	7,370
22-Jan-26 20:48:20	Remove STV	Upside	90 Days	17,910

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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Citigroup Global Markets Inc. or its affiliates has a net short position of 0.5% or more of any class of common equity securities of Kioxia Holdings.

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Citigroup Global Markets Inc. or its affiliates expects to receive or intends to seek, within the next three months, compensation for investment banking services from Sandisk Corp.

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Citi Research Equity Ratings Distribution

Data current as of 01 Apr 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	8%	37%	47%	16%
% of companies in each rating category that are investment banking clients	38%	41%	28%	42%	37%	36%

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